

CHAPTER FOUR

The Interface and Inter-linkages of PEs

4.1 Inter-Linkages With Stakeholders

The idea of inter-linkages lies at the heart of all development planning.

Managers of PEs consistently face external influences, pressures and demands from the **gov't, consumers, suppliers, trade unions the physical environment, the private sector, and other PEs.**

Inter-linkages must be planned and managed toward innovative actions, convert "constraints" into managerial challenges.

Therefore, first task is to identify the inter-linkages, to locate all the points of external contact, which an enterprise has as part of managing the situation.

Since the character of enterprises differ considerably, the framework and the intensity of inter-linkages will equally differ.

Enterprise should draw up their own model of inter-linkages, depicting all scenarios of external relations and the nature and content of contacts.

- In other words, identifying the important inter-linkages and locating all points of external contacts is a central task of mgmt.

The following are the inter-linkages that a PE would have for its success.

(I) Inter-linkage With The Government

Ideally, gov't needs to specify its relationship and define the interface with PEs.

Inter-linkage doesn't mean limitless gov't intervention.

However, gov't often fails to clearly determine the degree and character of the relationship.

Although there are common areas of gov't interventions, the specific nature of the intervention differs widely from country to country and even from enterprise to enterprise.

In developing countries in particular, the relationship goes in an informal ways and vague terms.

Besides, gov'ts tend to intervene when there are break downs of inter-linkages. PEs in these countries are treated similar to gov't departments and are tightly controlled.

As a whole, the most powerful influence affecting PEs comes from the gov't.

As a result, PEs managers are preoccupied with the task of establishing adequate relationship with public authorities.

They generally tend to view the inter-linkage with gov't as the only one that matters.

Yet, under abnormal situation, the relationship between gov'ts and PEs could develop into a situation of tension.

Chapter Four Cont'

On the contrary, there are some instances in developing countries where PEs enjoy almost total independence; i.e. without systematic interface and effective control.

Neither of these extreme cases is justifiable or consistent with the purpose of creating PEs.

Too much control denies the corporate status of the enterprise - defeating the very purpose for which it is created.

Too little control on the other hand leads to elite capture by placing PEs outside the ambit of democratic regime.

Chapter Four Cont'

- In principle, both extreme cases (complete autonomy and tight control) of enterprises are not recommended as the right approach.
- Parallel to providing autonomy to PEs, the gov't should have certain prerogatives and powers over them.
- This responsibility of the gov't should aim at ensuring that investments are secure and fruitful, and that they contribute to the national development.

Chapter Four Cont'

- It is important to maintain the right balance between the level of interventions and control of the gov't and the degree of operational autonomy of PEs.
- In other words, determining the extent and aspects of the relationship b/n PEs' and gov't in precise terms is hardly achievable.
- Hence, optimization of the linkages can provide legitimate and effective foundation for their successes.

(ii) Inter-linkage with Other Public Enterprises

- There are various reasons for establishing interdependencies among various PEs. The activity of one PE may be determined by the activity of the other in areas such as: investment, production, pricing, and marketing.
- The horizontal linkages among family of PEs is as crucial as their vertical linkage with the gov't.
- In a free market economy, the inter-linkage may not be framed in a regulated manner, since PEs could have their own choices of clients and suppliers.

(iii) Inter-linkage With the Private Sector

The inter-linkages b/n private and PEs is essential in developing countries that adopt a "mixed economy" policy.

The inter-linkages b/n these sectors are largely conditioned by government rules and could take place in key aspects, like:

- As suppliers of inputs and buyers of outputs, as competitors, collaborators, shareholders
- PEs as promoters of small-scale private enterprises

(iv) Inter-linkage With Workers Unions

- These days, workers are organized in associations to protect their rights and interests.
- The relationship with organized labor is, therefore, one fundamental aspect of the enterprises' inter-linkages.
- The objective is to ensure industrial peace, workers' involvement and motivation, and high productivity.

(v) Inter-linkage With Consumers

- Market mediates the relationship b/n producers and purchasers of the goods and services and measures consumers' demands & preferences.
- Consumers evaluate the performance of PEs in their own criteria of benefits such as, consumer protection, price and quality of goods, service efficiency, and after-sale facilities.
- Therefore, PEs should make efforts to understand consumers' needs through market research and maintaining effective inter-linkage with consumers.

(vi) Inter-linkage With Physical Environment

PEs have to take appropriate steps to prevent environmental effects caused by their own operations and by the private sector.

- This role can be expressed by funding research projects, employing appropriate devices, etc.; not only in cosmetic actions on parks and gardens created around industrial units
- However, the contribution of PEs with the physical environment may not be adequately reflected in their profit-loss accounts.

(vii) Foreign Partners or Clients

PEs have also foreign contacts arising from:

- Imports and export of goods, technology, machinery, raw materials, spare parts and components;
- Hiring of expatriate managers and consulting firms, international insurance agreements
- Establishing information networks and joint ventures, etc.
- For such reasons, PEs are supposed to develop their own "foreign policies" which define their inter-linkages within the scope of gov't provisions.

4.2 PEs-Government Agencies Relationship

- PEs do have relations with one or more gov't agencies in different aspects or for various purposes.
- However, the relationship may not take place in the traditional hierarchical model.
- In other words, the relationship is not placed in the form of vertical association, but in a more constructive horizontal relationship.
- Such gov't organization, among others include:

(A) Supervisory (Technical or Sectoral) Ministry

- The increasing complexity of modern gov'ts necessitated the creation of a number of ministries, which are industry-specific, technology specific, sector specific, and specialized in certain areas.
- These technical ministries formulate sectoral policies and plans, exercise supervision over, study markets for and guide PEs functioning in the sector.

(B) Ministry of Finance

- The attitude of the Ministry of Finance flows out of its national responsibilities; i.e. regulating fiscal and monetary issues.
- The Ministry is vitally responsible for national financial stability and solvency.
- Hence, its prime concern in relation with PEs is to ensure that
 - They are financially viable,
 - They generate returns from invested capital and pay dividends to gov't,
 - Serve as major means of resource mobilization

As far as PEs are concerned, the Ministry of Finance acts on behalf of gov't as a shareholder and exercises interventionist power in certain areas, namely:

- It decides on PEs' initial investment decisions
- It provides capital funds and long-term loans
- It projects the expected rate of return on investments
- It may intervene in overall pricing, wage and salary policies with the view of controlling abnormalities and their national impacts.

(C) Ministry of Planning

- The Ministry of planning is sometimes organized as "Planning Commission" or "National Planning Board",
- It has the overall responsibility of designing the national dev't plan; preparing a gigantic national input-output tables and a national economic matrix.
- The ministry takes PEs as the **building blocks of the national plan**; as instruments for the successful execution of such national plans.

Chapter Four Cont'

- Therefore, the role and performance of PEs is of a great concern to the Ministry of Planning.

In practice, the influence of the Ministry of Planning over PEs could be the following:

- Inclusion of public sector projects in the national plan,
- Recommending and/or facilitating resource allocation for this purpose,
- Monitoring project implementation to ensure successful accomplishment of the plan by analyzing the national input-output table.

Chapter Four Cont'

- Behaviorally, the Ministry of Planning wouldn't see PEs as autonomous business firms.
- Rather, it views them as components of the national plan; as contributors to the GDP.
- The Ministry also sees them from the broader investment frame of references at the national level, rather than at a single enterprise level.

(D) Ministry of Industry

- The responsibility of this ministry is to **promote industrialization** in the country.
- Since a larger number of PEs are in the industrial sector, the Ministry considers them as **factors of industrialization**.
- Based on the assessment of domestic and international demand-supply conditions, the ministry :
 - Determines **areas suitable for public investment** in the industrial sector and supports or proposes new investments on PEs.

Chapter Four Cont'

- Approves foreign technical collaborations and importations of technology.
- Protects PEs against the encroachment of large-scale foreign industries.

Behaviorally, the Ministry of Industry may not differentiate between the public and domestic private enterprises; rather threats both as instruments of industrialization.

(E) Ministry of Labor

- The main concern of the Ministry of Labor is the welfare of workers.
- It promotes the protection of workers' rights in issues such as:
 - Job security,
 - Standard working hours,
 - Hazardous employment conditions,
 - Labor dispute mgmt. and functionalities of labor unions.

Although this Ministry has no direct control over PEs, its policies have major impacts on matters such as:

- Wage negotiations and determinations.
- Welfare measures, bonuses and incentives.
- Disciplinary procedures and industrial peace (dispute settlements), etc.
- Behaviorally, as champion of workers' rights, **the Ministry doesn't differentiate b/n P&P** enterprises; instead treats both as employers.
- But it has legitimate expectation that PEs should be good models in labor relations.

(F) Ministry of Commerce

- This Ministry, sometimes called "Ministry of Foreign Trade".
- It presides over the country's **foreign commercial transactions**, to ensure positive balance of payments by **promoting exports and controlling imports**.
- Although policies of the Ministry do not distinguish b/n the public and private sectors, it generally plays roles that affect PEs in core areas, like:

- Import licensing
- Foreign exchange releases
- Export promotion and quota settings
- Tariff (tax) decisions (rate, reduction or exemption, etc.)

In general, these points of contacts between PEs and sectoral gov't agencies simply portray the **multiplicity of signals coming to the entities** from various angles.

In other words, a PEs could have relations with one or more of such gov't agencies.

Chapter Four Cont'

Each organ has its own stake in PEs; hence demands certain requirements from its own perspectives, which create complexity to PEs in:

- Interpreting what the gov't really wants,
- Responding to multiple nature of demands,
- Attempting to survive in such policy mazes.

Although each agency could have its own role to the success or failure of PEs, **the supervisory agency imposes the most decisive influence.**

Therefore, we shall examine the role of this agency in a particular emphasis.

4.3 The Role Of The Supervisory Agency

- Do we really need supervisory agencies considering the principle of managerial autonomy of PEs?
- What are the fundamental functions of this agency?
- What are the major areas of supervision?

These questions must be answered with reference to the effectiveness of PEs.

A supervisory ministry/agency is an independent controlling body, or a parent ministry.

There are two models of the supervisory agency in the developing world.

- Some countries establish a single agency to supervise the functions of all PEs.
- Examples include: The Ministry of Production in Pakistan, The Ministry of PEs in Malaysia, The Ministry of Industry in Egypt, and Privatisation PEs' Supervisory Authority in Ethiopia.
 - Proclamation No. 25/1992. PE Proclamation
 - Proclamation No. 277/2002. PEs Supervising Authority
 - No. 412/2004. Privt. & PEs Supervisory Agency

However, this model is criticized as being ineffective to place all PEs under the supervision of a single agency.

The other common experience is to entrust the affairs of PEs to different technical ministries. This pattern has three major advantages:

- It is managerially attainable. The number of PEs to be supervised would be small enough to satisfy the mgmt. concept of "span of control"
- Since the ministry is "technical", it is familiar with the technological, production, marketing and mgmt. problems of PEs under its control.

- Since the ministry sets gov't policy for the sector, it is likely to give effective guidance along the corporate strategies of PEs.

Whatever model is used, decisions involving gov't interest in PEs is expressed through the supervisory agency.

- The supervisory agency is commonly called upon to give formal approval to certain kinds of decisions, such as:
 - Screening and piloting new investments, expansion and diversification of projects,
 - Foreign currency and borrowing needs,

- Approving major foreign technology contracts and joint venture proposals
- Approving price in sensitive cases, particularly in monopoly situations
- Approving dividend thresholds (profit distribution) and the utilization of surpluses.
- Approving staff recruitment systems, salary and wage structures,
- Appointing the board of directors and the chief executive

Chapter Four Cont'

- Defining and approving corporate objectives and plans, evaluating performances, and monitoring and coordinating their progresses.
- Assuring synergy and harmony among different PEs in the dev't plans and the overall public purposes for which they were created.
- Communicating directives on matters of public policy or public interest.

The execution of some of these functions may be beyond the competence level and authority of the supervisory ministry; thus, may involve other gov't agencies.

The following are generally recommended as the guiding principles for supervisory ministry while exercising the foregoing powers in relation to PEs (Mathur, 1999):

- The power of the supervisory minister should be clearly defined.
- The minister should exercise broad oversight functions, but the day-to-day operations should be left to the internal mgmt., to the CEO or GM.

- The minister should be concerned with securing that PEs operate in the interest of the public.
- The methods of ministerial control or supervision should be mainly strategic rather than tactical.
- In other words, the supervisory ministry should be responsible for the formulation of policy and guideline, while implementation of that policy should be the responsibility of mgmt.

Chapter Four Cont'

- The supervisory ministry should be open-minded to promote decentralized decision-making to facilitate efficiency of the PEs.

Proper and fruitful supervisory control depends on the attitude and ability of supervisory bodies towards the PE concerned.

- On the contrary, managers of PEs are usually aware of the expertise and competence problems of supervisory agencies.
- Consequently, managers could manipulate the weaknesses of supervisors and exercise limitless discretions and develop elite capture .

4.4 Areas of Government Interventions

Gov't can intervene in the following rightful areas:

- (i) Defining Corporate Objective
- (ii) Approval of Investments
- (iii) Approval of Corporate Plans
- (iv) Nomination of Board of Directors
- (v) Appointment of Chief Executive
- (vi) Provide Directives on Matters of Public Interest
- (vii) Decide on Core Personnel Related Matters
- (viii) Develop Pricing and Marketing Policies
- (ix) Conduct Auditing and Performance Evaluation

(i) Defining Corporate Objectives

The starting point of the gov't-PE relationship is formulation of goals. Defining the objectives of PEs has different purposes. For example:

- It indicates to the enterprise why it has been established and what it is expected to achieve
- It provides a sense of direction how to design corporate strategies and operational plans
- It gives notice to PE about the focus of public control
- It provides yardsticks for the evaluation of performances

(ii) Approval of Investments

- Since the funds required for creating PE come from the public exchequer (treasury), the gov't will determine their feasibility for investments.
- Investment decisions are often made even before the enterprise is actually created.
- Prudence with which investments are made has a decisive influence on the viability and performance of PEs.
- The failure of many PEs is often attributable to careless investment decisions.

The investment cycle should be scientifically studied.

(iii) Approval of Corporate Plans

Corporate planning is a typical feature of the private sector; yet it has been used for PEs too.

Generally, there are two justifications of corporate planning.

- It provides an instrument for promoting the effectiveness and efficiency of PEs and upgrading their performance levels.
- It is the most pragmatic way of bridging the gov't and the enterprise by setting performance contracts.

The discipline of corporate planning involves the following elements:

- (a) Defining the mission:** seeking answers for questions such as "what business are we in?" and "what do we want to achieve in the long-run?"
- (b) Designing long-term strategies:** Investment decisions with long-term implications must consider key assumptions about prices, markets, technology, and gov't policies.

Developing long-term strategies should also take into account political and economic scenarios.

(c) Developing operational plans:

Corporate plans are broken down into major operational areas critical to the enterprise.

Operation/functional plans must consider basic elements such as capital structure, productivity, profitability, cost-effectiveness, and so forth.

(d) Dealing with inter-linkages:

The success and image of a PE largely depends on the mgmt. of optimal the inter-linkages.

(e) Articulating performance evaluation criteria

The most unresolved issue in the mgmt. of PEs is the complexity and elasticity of performance evaluation criteria.

(iv) Nomination of Board of Directors

- As it will be discussed in Chapter Five in detail, nomination or appointment of board members for PEs is the prerogative of the gov't.
- The success of PEs depend on the rightfulness of the appointment of the board of directors.
- Studies show that in the appointment of board members, especially in developing countries, political compulsion outweighs managerial necessities.
- The fate of PEs is determined by the strengths or weaknesses of the board of directors.

(v) Appointment of Chief Executive

- Appointment of the chief executive is more critical than selection of board members.
- Appointment of the chief executive should be made on the basis of professional integrity and capacity of individuals.

(vi) Directives on Security Matters

- Directives or instructions could take both formal and informal directions.
- For example, a directive to a PE may come from the gov't not to retrench surplus staff or an individual, to purchase machinery from a particular country, and so on, which is often informal.

(vii) Directives on Public Interest

- The most ambiguous area is issuing directives on matters of public interest.
- The term "public interest" is so elastic that in practice it could mean anything, enabling the gov't to excessively intervene in the affairs of PEs.
- Issuing directive in the name of public interest might be unnecessarily flexible.

(viii) Obtaining Information, Monitoring and Audit

- Despite complaints from PEs managers, gov't needs to obtain adequate information, monitor their operations and performances, and undertake different types of audits upon them such as statutory audit, transaction audit, propriety audit, and performance audit.

(IX) Performance Evaluation

- Although gov'ts have common practices in terms of evaluating the performance of PEs, the problem of how to assess such performances seems to defy solutions.

4.5 Accountability and Control of PEs

A UN study recommends some guiding principles regarding control and accountability of PEs:

- PEs shall be controlled and be accountable based on their defined field of activities and functions
- The gov't should retain the power of supervision, auditing, appointing and removing directors

Chapter Four Cont'

- PEs should be held accountable for the actions they take or decisions they make
- One aspect of exercising accountability is report requirement to be accessible to a designated gov't body, press and the public.
- Performance evaluation criteria must be clear and tangible to make them accountable for results.
- Government's power should be broad and mostly formal, but relevant to its function.

Chapter Four Cont'

- Gov't also exercise an ongoing control in due process of the operations of PEs
- Control should neither be extremely loose nor excessive; should neither develop into a situation of tension nor allow PEs enjoy total independence
- Neither of these extreme cases is justifiable or consistent with the purpose of creating PEs.

Chapter Four Cont'

- Too much control denies the corporate status of the enterprise - defeating the very purpose for which it is created.
- Too little control on the other hand leads to elite capture by placing PEs outside the ambit of democratic regime.
- Therefore, the degree of control by the gov't and the degree of operational freedom of PEs must strike balance.
- That is, balancing autonomy and responsibility should guide the purpose of control.